



PS International Cost Accounting and Cost Management - Winter Term 2025/26

Introduction

- Benjamin Falch, M.Sc.
 - Doctoral researcher & teaching assistant
 - Management Accounting
 - Department Organization & Learning
 - Faculty Business & Management
- Office hours: by appointment (via e-mail: benjamin.falch@uibk.ac.at)

Administrative support:

- Bettina Jäkel
- bettina.jaekel@uibk.ac.at

Objective & Content

- This PS accompanies the lecture *International Cost Accounting and Cost Management* (433440)
- We will discuss, train, and deepen selected core content
- Attending the lecture is highly recommended
- Gain profound knowledge of costing techniques and their practical application
- After the course, you should be able to assess the accuracy of LLM output
- Develop presentation skills

Attendance

- Continuous attendance is mandatory for all appointments
- If you are unable to attend, **contact me in advance**
 - The reason for the absence must be substantial (e.g., sickness)
 - In this case, you must provide confirmation within 7 days (e.g., doctor's note, employer confirmation)
 - Otherwise, you will be removed from the course

PS Schedule

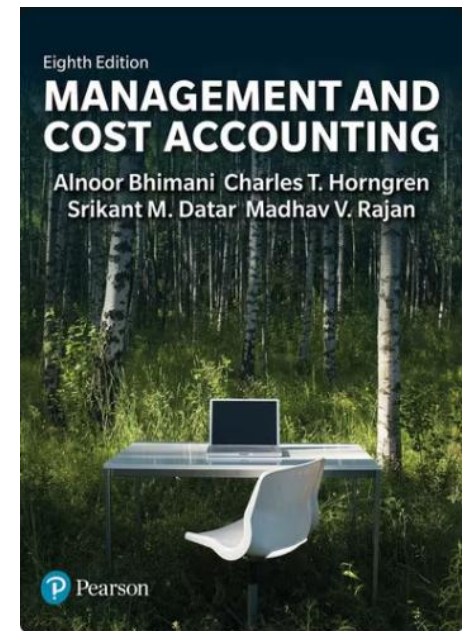
Date	PS topic
20.04.2026 11:30 – 13:00	Introduction and course organisation Cost concepts
27.04.2026 11:30 – 13:00	Job and process costing
04.05.2026 11:30 – 13:00	Costing applications
11.05.2026 11:30 – 13:00	Midterm exam
18.05.2026 11:30 – 13:00	Activity-based costing
01.06.2026 11:30 – 13:00	Budgeting and variance analysis
08.06.2026 11:30 – 13:00	Replacement date
15.06.2026 11:30 – 13:00	Written exam (75min)

*BDHR: textbook

Course material (I)

Textbook:

- Bhimani, A., Horngren, C. T., Datar, S. M., & Rajan, M. V. (2023). *Management and Cost Accounting* (8th ed.). Pearson.
- To successfully pass the PS, it is helpful to have a copy of this textbook at hand.
- Available in three forms:
 - through the library: <https://elibrary.pearson.de/book/99.150005/9781292436036>
 - as electronic textbook via Vitalsource (<https://www.vitalsource.com/de/>)
 - as hardcopy from the publisher
- UIBK VPN: <https://www.uibk.ac.at/zid/anleitungen/vpn.html.de>



<https://www.pearson.com/en-gb/subject-catalog/p/management-and-cost-accounting/P200000009998/9781292737669>

Course material (II)

Examples marked with a *

***3.11 Computing indirect-cost rates, job costing (20–30 minutes)** (BHDR, 2023, p. 82)

Are exercises with the solution in the book

Appendix A: Solutions to selected exercises (BHDR, 2023, pp. 741-806)

Excellent exercises to prepare for the exam

Learning Format and Assessment

Task	individual/group	duration	weight	Points
Presentation of exercise solution (with slides)	group	10-15 minutes	20%	20
Written midterm exam	Individual	30 minutes	20%	20
Written exam (PS) (open questions)	individual	75 minutes	60%	60
Total achievable points			100%	100

Presentations

- We will form 8 groups
- Each group must present once
- Each group is assigned a task
- On OLAT, you will find a PDF file entitled *‘Exercises for the seminar’* containing all task descriptions

Session 2: Job and process costing

2.1 Job costing I (exercise 3.21 in textbook) **Group 1**

Giannacopoulos SA uses a job-costing system at its Korinthos plant. The plant has a Machining Department and an Assembly Department. Its job-costing system has two direct-cost categories (direct materials and direct manufacturing labour) and two manufacturing overhead cost pools (the Machining Department, allocated using actual machine-hours, and the Assembly Department, allocated using actual labour cost). The 2023 budget for the plant is as follows:



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Expectations for the presentation

Category	Criteria	
Technical content	Accuracy and application	Correct calculation, analysis & interpretation of the results, application of specific cost/mgmt. acc. concepts (you are expected to use the concepts of the lecture)
	Depth of analysis	Going beyond mere calculations to discuss <i>why</i> the results matter for managerial decision-making (e.g., based on our variance analysis, we recommend ...)
	Use of terminology	Correct and professional use of cost and mgmt. accounting terms
Presentation skills	Clarity & organization	Clear introduction (stating the exercise <i>problem & goal</i>), logical flow and well-organised slides (it should be easy to follow for the audience), strong conclusion/recommendation
	Visualisation	effective use of charts/graphs to illustrate data, results, etc., good formatting (e.g., page numbers, names of presenters, etc.)
	Individual contribution	All group members are expected to present an equal part of the exercise
	Time management	Presenting within the specific time limit (10-15min)

Expectations for the presentation

- **The prepared presentation must be sent to me via e-mail by 10:00 a.m. on the Friday before the presentation dates**
 - You will receive brief feedback by Monday evening
 - Ensuring that you present correct calculations & results
 - You are welcome to send me the presentation earlier, then you will receive feedback earlier and have more time
- Do not rely too heavily on LLMs (e.g., ChatGPT), as their interpretations are often incorrect!
- If you have any questions or need clarification, please send me an email *in advance*!
- Those who do not present:
 - You are expected to read through the tasks of the presentation exercises *and* in-class exercises before the sessions
 - You are expected to take notes (all presentations are relevant for the final exam!)
 - Ask questions if you don't understand something.

Learning Format and Assessment

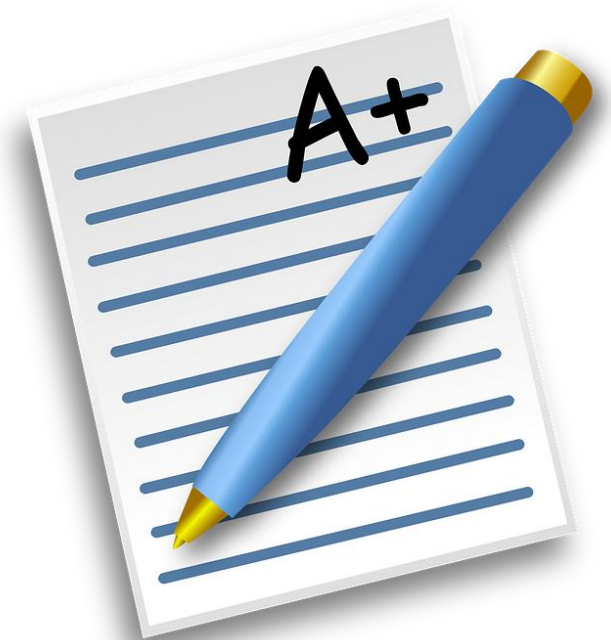
Written Exam (midterm & final)

- ✓ Open questions
- ✓ Calculations, including interpretation of the results
- ✓ Exercises will be similar to those discussed in the seminar
- ✓ Calculator & dictionary allowed

Marking Scheme

grade	percentage
1	100 – 80%
2	79 – 70%
3	69 – 60%
4	59 – 50%
5	< 50%

- ✓ The PS must be assessed positively in order to take part in the final lecture examination
- ✓ In order to pass the course, at least **50% of the points** must be achieved in the **written exam**.

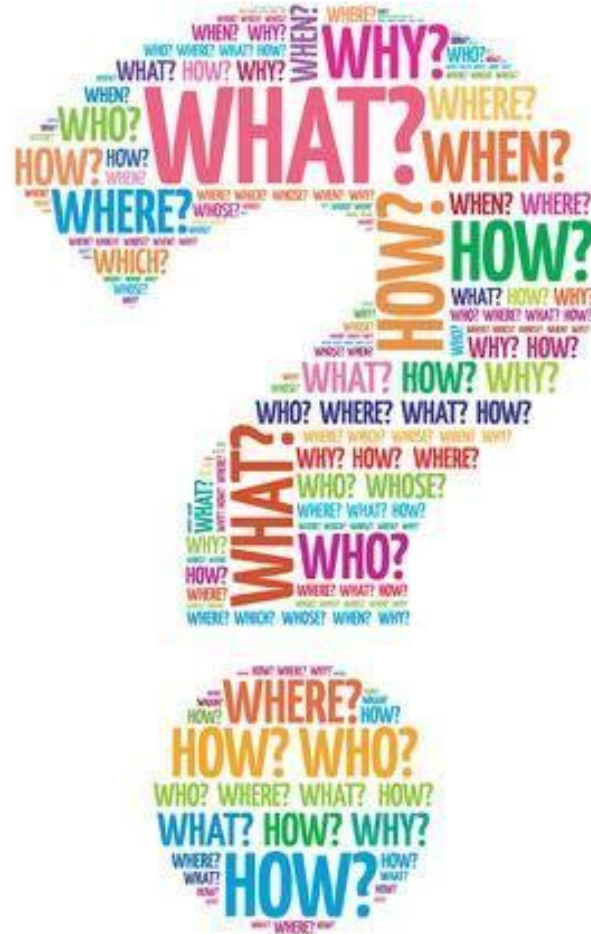


Grouping

- ✓ Form 8 groups
- ✓ **Groups:** Groups of 3-4



Questions?



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Management and Cost Accounting – Cost Concepts

Exercise 2.15

Crescendo Srl operates a large entertainment store in Milan. The store has both a film (DVDs) section and a musical (Cds and vinyl) section. Crescendo reports revenues for the film section separately from the musical section.

Required:

Classify each of the following cost items as:

- (1) Direct or indirect (D or I) costs with respect to the film section.
- (2) Variable or fixed (V or F) costs with respect to how the total costs of the film section change as the number of films sold changes.

- A** Annual retainer paid to a film distributor
- B** Electricity costs of Crescendo store (single bill covers entire store)
- C** Costs of films purchased for sale to customers
- D** Subscription to Video-Novo magazine
- E** Leasing of computer software used for financial budgeting at Crescendo store
- F** Cost of popcorn provided free to all customers of Crescendo
- G** Earthquake insurance policy for Crescendo store
- H** Freight-in costs of films purchased by Crescendo

(BHDR, 2023, p. 53)

Solution exercise 2.15

Crescendo Srl operates a large entertainment store in Milan. The store has both a film (DVDs) section and a musical (CDs and vinyl) section. *Crescendo* reports revenues for the film section separately from the musical section.

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Classify each of the following cost items as:

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- A** Annual retainer paid to a film distributor

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C Costs of films purchased for sale to customers

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E Leasing of computer software used for financial budgeting at Crescendo store

F Cost of popcorn provided free to all customers of Crescendo

G Earthquake insurance policy for Crescendo store

H Freight-in costs of films purchased by Crescendo

Cost item	D or I	V or F
A	D	F
B	I	V
C	D	V
D	D	F
E	I	F
F	I	V
G	I	F
H	D	V

Exercise 2.11

A student association has hired a music group for a graduation party. The cost will be a fixed amount of €40 000.

Required:

- (1) Suppose 500 people attend the party. What will be the total cost of the music group? The unit cost per person?
- (2) Suppose 2000 people attend. What will be the total cost of the music group? The unit cost per person?
- (3) For the prediction of total costs, should the manager of the party use the unit cost in requirement 1? The unit cost in requirement 2? What is the major lesson of this problem?

(BHDR, 2023, p. 51)

Solution exercise 2.11

Task 1)	Total cost:	40,000.00 €
	Unit cost:	80,00 €

$$\frac{€ 40,000}{500} = €\mathbf{80.00}$$

Task 2)	Total cost:	40,000.00 €
	Unit cost:	20,00 €

$$\frac{€ 40,000}{2,000} = €\mathbf{20.00}$$

Task 3)

The main lesson of this problem is that changes in the number of cost driver units will affect total variable costs but not total fixed costs. In this example, it would be questionable to use either the €80.00 or the €20.00 unit cost to predict the total cost, because the total costs are not affected by the attendance. Instead, the student association should use the €40,000 total cost.

the functions of management accounting



Exercise 1.16

For each of the following activities, identify the major function (**scorekeeping**, **attention directing** or **problem solving**) the accountant is performing.

- Preparing a monthly statement of Spanish sales for the BMW marketing vice-president.
- Interpreting differences between actual results and budgeted amounts on a performance report for the customer warranty department of Tefal.
- Preparing a schedule of depreciation for forklift trucks in the receiving department of a Hewlett-Packard plant in Scotland.
- Analysing, for a Toshiba international manufacturing manager, the desirability of buying some semiconductors made in Ireland.
- Interpreting why a Birmingham distribution centre did not adhere to its delivery costs budget.
- Explaining a shipping department's performance report.
- Preparing, for the manager of production control of a German steel plant, a cost comparison of two computerised manufacturing control systems.
- Preparing a scrap report for the finishing department of a Volvo parts plant.
- Analysing, for a Volkswagen product designer, the impact on product costs of some new headlight lamps.

Solution exercise 1.16

For each of the following activities, identify the major function (**scorekeeping**, **attention directing** or **problem solving**) the accountant is performing.

- | | |
|---|------------------------|
| a) Preparing a monthly statement of Spanish sales for the BMW marketing vice-president. | a) Scorekeeping |
| b) Interpreting differences between actual results and budgeted amounts on a performance report for the customer warranty department of Tefal. | b) Attention directing |
| c) Preparing a schedule of depreciation for forklift trucks in the receiving department of a Hewlett-Packard plant in Scotland. | c) Scorekeeping |
| d) Analysing, for a Toshiba international manufacturing manager, the desirability of buying some semiconductors made in Ireland. | d) Problem solving |
| e) Interpreting why a Birmingham distribution centre did not adhere to its delivery costs budget. | e) Attention directing |
| f) Explaining a shipping department's performance report. | f) Attention directing |
| g) Preparing, for the manager of production control of a German steel plant, a cost comparison of two computerised manufacturing control systems. | g) Problem solving |
| h) Preparing a scrap report for the finishing department of a Volvo parts plant. | h) Scorekeeping |
| i) Analysing, for a Volkswagen product designer, the impact on product costs of some new headlight lamps. | i) Problem solving |

Questions?



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References

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